Case study: balance sheet

This example from Wessex Water, a UK public utility company, shows how a balance sheet works in practice (at the time, the exchange rate was £1 = $1.58).

Fixed assets (or non-current assets) are not easily converted into cash and usually last longer than one year. They are either tangible, such as land, or intangible, such as a logo

Current assets are assets that last one year or less, and can be easily converted into cash. Cash, cash equivalents, and inventory are the most common current assets

Creditors are the individuals or organizations to which the company owes money. Here, the money must be repaid in the current financial year

Net current assets equals current assets after money due to creditors has been deducted

Total assets less current liabilities is the sum of fixed and net current assets minus liabilities due within the current financial year

Liabilities due in more than one year are amounts due to creditors, which are deducted from total fixed and net current assets

Net assets are what is left once liabilities have been deducted from the company's fixed and net current assets to give the overall net assets

Shareholders' funds, or owner's equity, is the remaining capital; this money can be reinvested into the business or paid out as an annual dividend

ASSETS, LIABILITIES, AND CAPITAL	Year 2013 £m	Year 2012 £m
Fixed assets		
Tangible assets	**2,167.1**	**2,069.2**
Investments	–	–
Current assets		
Stock and work in progress	7.0	6.3
Debtors	162.6	153.9
Cash in the bank and in hand	181.0	211.0
	350.6	371.2
Creditors—amounts falling due within one year	(198.8)	(171.7)
Net current assets	**151.8**	**199.5**
Total assets less current liabilities	**2,318.9**	**2,268.7**
Creditors—amounts falling due after more than one year	(1,891.5)	(1,811.9)
Provisions for liabilities and charges	(114.9)	(115.3)
Retirement benefit obligations	(93.1)	(83.0)
Deferred income	(17.2)	(17.9)
Net assets	**202.2**	**240.6**
Capital and reserves		
Called-up equity share capital	81.3	81.3
Profit-and-loss account	120.9	159.3
Shareholders' funds	**202.2**	**240.6**

SYMBOLS FOR DEBITS AND CREDITS

Accountants use a number of different terms and symbols to indicate debits and credits. Some use "Dr" for debits and "Cr" for credits, others use "+" for debits and "–" for credits. On this balance sheet, parentheses are used to show credits (negative numbers).